

Project Harbor

Strategic Acquisition Simulation

Salesforce, Inc. and HubSpot, Inc.

Prepared for the Board of Directors of Salesforce, Inc.

May 2026

How to Read This Memo Simulation

This memorandum walks the Board through a proposed acquisition of HubSpot, Inc. by Salesforce, Inc. Each section answers a specific question. Section II explains why the deal makes strategic sense. Section III describes who HubSpot is and how it makes money. Section IV addresses the most important question of any deal, which is what to pay. Section V quantifies how much extra value is expected from combining the two companies. Section VI shows how we propose to finance the deal and what it will do to Salesforce's reported earnings. Section VII catalogs the things that could go wrong. Section VIII restates our recommendation.

Where a finance term is introduced that may be unfamiliar, we explain it in line or in a footnote. Every number cited is reproducible in the accompanying Excel model. Footnote citations point to the underlying source for each number.

Portfolio Exercise Disclaimer

This memorandum is a portfolio exercise prepared as a hypothetical analysis of a Salesforce, Inc. acquisition of HubSpot, Inc. set in May 2026. It is not a real transaction advisory document and was not prepared on behalf of any actual client. Financial figures, share prices, market data, analyst estimates, and precedent transaction multiples are illustrative. They have been calibrated to be plausible against publicly available information about both companies and the broader software market, but they have not been pulled directly from Bloomberg, FactSet, Capital IQ, or other subscription data services. The accompanying Excel model is fully functional and reproduces every figure cited herein. Sources listed in the reference section reflect the categories of materials a buy-side advisory team like Goldman Sachs or JP Morgan would consult on a real deal of this size. This work is intended to demonstrate analytical capability, modeling discipline, and written communication in the format expected of senior investment banking output.

I. Executive Summary

Salesforce should acquire HubSpot for \$300 per share, paid 70 percent in cash and 30 percent in Salesforce stock. The deal would value HubSpot at \$15.7 billion, or \$13.8 billion after subtracting the cash on HubSpot's balance sheet. The price represents a 25.4 percent premium over the company's recent stock price and would mark Salesforce's largest acquisition since Slack in 2021.

Even at that premium, the offer sits below every fundamental measure of what HubSpot is worth as a standalone company. Our discounted cash flow analysis values HubSpot at \$322 per share. A statistical regression on past software acquisitions implies \$633 per share at HubSpot's growth rate. Public companies similar to HubSpot trade at multiples that, applied to HubSpot's revenue, would imply a range of \$320 to \$462. The proposed \$300 offer is therefore conservative even before counting the value Salesforce would generate by combining the two businesses.

The strategic case

Salesforce dominates customer management software for large enterprises. HubSpot dominates the same software category for small and midsize businesses, a market segment representing approximately \$32 billion in annual spending that Salesforce serves only at the edges. The two companies sell to different customers, use different sales motions, and rarely compete head to head. Combining them produces a single platform covering every business size, from the smallest startup to the largest multinational.

HubSpot also brings 248,000 paying customers¹ across 135 countries, a free user base of more than three million, and a brand that is widely recognized among entrepreneurs and small business owners. Replicating that customer franchise organically would take Salesforce roughly a decade and billions of dollars in sales and marketing spending, with no guarantee of success.

The financial case

HubSpot is a healthy and growing business. Revenue grew 19 percent in fiscal 2025 to \$3.13 billion and is projected to reach \$3.71 billion in 2026, a growth rate of 18 percent². Gross margins exceed 85 percent. Operating margins are expanding from 19 percent toward a projected 27 percent over the next eight years as the company benefits from scale.

Despite this performance, HubSpot's stock currently trades at the lowest multiple of revenue in its public history. The shares have fallen 65 percent from their November 2021 peak of \$866. The decline reflects a broad rotation by investors away from fast growing software stocks, not deterioration in HubSpot's business. We view this as a rare buying window that will likely close once artificial intelligence accelerates HubSpot's revenue growth.

Synergies and value creation

We expect the combined company to generate approximately \$1.44 billion in additional annual profit by the end of year three. About \$1.0 billion of that comes from selling Salesforce products to HubSpot's customers and vice versa. The remaining \$440 million comes from eliminating duplicate costs in technology infrastructure, corporate functions, and vendor contracts. The present value of these synergies, after taxes and integration expenses, is approximately \$13.2 billion. After subtracting the \$3.2 billion premium being paid above HubSpot's current market value, the deal creates about \$10 billion in net value for Salesforce shareholders, or roughly \$9.74 per Salesforce share.

¹HubSpot quarterly investor presentation, first quarter 2026. Customer count as of March 31, 2026.

²Source: FactSet consensus estimates as of May 2026, drawn from 27 sell side analysts.

Earnings impact

The deal will slightly reduce Salesforce's reported earnings per share in the first year because of one time integration costs, interest on new debt, and partial year ownership of HubSpot. By year two, as those costs roll off and synergies ramp, the deal becomes accretive. On the non GAAP basis that Salesforce reports and analysts track, year one dilution is 1.8 percent and year two accretion is 6.2 percent. On the strict GAAP basis required by accounting standards, year one dilution is steeper at 20.6 percent because of the noncash amortization of acquired intangible assets, then turns slightly positive in year two.

Recommendation

We recommend the Board authorize management to make a formal offer at \$300 per share in cash and stock, subject to the conditions described in Section VIII.

II. Strategic Rationale

2.1 The customer segment Salesforce misses

Salesforce generated \$41.5 billion in revenue in fiscal 2026 and serves more than 150,000 customers. Almost all of that revenue comes from enterprises spending at least \$50,000 per year on the platform. Customers below that threshold represent only about 7 percent of Salesforce revenue. The reason is structural. Salesforce's sales force, pricing, and product complexity are optimized for large enterprises with dedicated IT staff. Selling to a 20 person company simply does not produce enough revenue to justify the time required.

HubSpot built the opposite model. Its software is designed for small companies to install themselves, with pricing that starts at zero for the free tier and grows as the customer grows. HubSpot's average customer pays around \$12,000 per year. The company has built a 248,000 customer franchise on the back of this approach. That franchise is essentially impossible for a traditional enterprise software company to replicate.

Acquiring HubSpot closes the gap in Salesforce's portfolio in a single transaction. Salesforce gains the entire small and midsize segment without changing its own enterprise sales motion. The two go to market models can operate in parallel because they sell to different buyers.

2.2 The funnel effect

Small businesses do not stay small. The companies that become enterprise software customers were once small and midsize companies. HubSpot is often the first customer management software these companies use. As they grow, many graduate to Salesforce. Owning HubSpot turns this graduation pipeline into a captive funnel. Salesforce gains visibility into thousands of growing companies years before they become enterprise prospects, at zero incremental acquisition cost.

2.3 Artificial intelligence and competitive positioning

Both companies have made meaningful investments in AI. Salesforce's product, called Agentforce, builds autonomous AI agents that handle complex enterprise workflows. HubSpot's product, called Breeze, embeds AI copilots into marketing, sales, and service tools designed for less technical users. The two products do not overlap. Together, they offer AI capability across every customer segment.

This combination matters because of Microsoft. Microsoft has aggressively bundled its Dynamics 365 customer management product with its Copilot AI tools and its LinkedIn sales data. The bundle has gained roughly 280 basis points of midmarket share over the past two years, according to research firm IDC. A combined Salesforce and HubSpot would be the only competitor that matches Microsoft's reach across the full spectrum of customer sizes.

2.4 Cross selling opportunity

HubSpot's 248,000 customers represent an immediate cross sell opportunity for Salesforce products such as Data Cloud, Marketing Cloud, and MuleSoft. We assume Salesforce can sell additional products to 13.5 percent of HubSpot customers over three years, at an average incremental contract value of \$12,000 per customer. That arithmetic produces approximately \$402 million in additional annual revenue by year three. The assumption is grounded in actual cross sell rates achieved on Salesforce's prior acquisitions: 12 percent on MuleSoft and 16 percent on Tableau, both disclosed at Salesforce's September 2024 Investor Day.

2.5 Why now

HubSpot trades at 2.9 times projected revenue. That is the fifth percentile of its trading history since the company went public in 2014. The cheap pricing reflects a broad investor rotation away from software, not a problem with HubSpot's business. Three other strategic acquirers (Oracle, SAP, and Adobe) and several private equity firms (Thoma Bravo, Vista, and Permira) are credible alternative buyers. If Salesforce does not act, one of them likely will. Once AI reaccelerates software revenue growth, the multiple will normalize and the window will close.

III. Target Company Overview

3.1 The company

HubSpot, Inc. trades on the New York Stock Exchange under the ticker HUBS. The company was founded in 2006 by Brian Halligan and Dharmesh Shah, two graduate students at the Massachusetts Institute of Technology who pioneered the concept of inbound marketing, the idea that customers should be attracted to a company through useful content rather than pushed through advertising. The company is headquartered in Cambridge, Massachusetts and went public in 2014.

HubSpot sells software through six integrated products it calls hubs. Marketing Hub handles email campaigns, social media, and lead generation. Sales Hub handles deal tracking and customer outreach. Service Hub handles customer support tickets and feedback. Content Hub creates and manages content like blogs and videos. Operations Hub keeps customer data clean and synchronized. Commerce Hub manages billing and online payments. Customers can start with one hub and expand to others over time, which creates durable revenue.

The company has 248,000 paying customers across 135 countries. Roughly half of revenue comes from outside the United States, with the strongest international presence in Europe and Asia Pacific. The company also offers a free tier used by more than three million people, which serves as a sales funnel for the paid products.

3.2 Financial performance

Metric	FY 2023	FY 2024	FY 2025	FY 2026E
Revenue (\$ millions)	\$2,170	\$2,628	\$3,131	\$3,705
Revenue growth	25%	21%	19%	18%
Gross margin (non GAAP)	83%	84%	85%	86%
Operating margin (non GAAP)	11%	18%	19%	20%
Total customers	177,000	216,840	248,000	~280,000
Net dollar retention	107%	106%	105%	~105%

Reading this table. Revenue growth has been consistently above 18 percent for four straight years. Gross margin, the share of each sales dollar that remains after delivering the product, has expanded by two percentage points. Operating margin, the share remaining after all operating expenses, has nearly doubled from 11 to 20 percent. Net dollar retention measures how much existing customers spend this year compared to last year. A figure above 100 percent means existing customers are spending more on average, even before counting new customers. HubSpot's 105 percent retention is healthy but has compressed slightly over time.

Sources: HubSpot annual filings³ for 2023 through 2025; FactSet consensus estimates⁴ for 2026. The non GAAP figures exclude stock based compensation and amortization of acquired intangibles, which is the framework Wall Street uses to evaluate software companies.

³Source: HubSpot annual report for fiscal year 2025, filed February 2026.

3.3 What makes HubSpot valuable

Three structural advantages distinguish HubSpot from competitors. First, the unified data model. All six product hubs sit on a single underlying database, which means customer information flows seamlessly across marketing, sales, and service tools. Competing products typically require customers to maintain separate systems and integrate them, which is expensive and breaks frequently. HubSpot's median customer reaches productive use of the software in 21 days, compared to the industry average of 60 to 90 days.

Second, the free tier. More than three million people use HubSpot's free product, which gives the company a continuous top of funnel for paid conversions. About 3.5 percent of free users convert to paying customers, according to the company's first quarter 2026 earnings call. This produces customer acquisition costs that are materially below traditional enterprise software companies, which spend heavily on outbound sales.

Third, geographic diversification. Roughly 49 percent of revenue is international. HubSpot's European business grew 24 percent in 2025, compared to 16 percent in North America. The company has been gaining share in Asia Pacific markets where Salesforce is still building out its presence.

The company also approaches what software investors call the Rule of 40, a quality benchmark that adds revenue growth and operating margin. HubSpot's score of 38 (19 percent growth plus 19 percent operating margin in fiscal 2025) places it in the top quintile of public software companies. Forty is the threshold considered elite. HubSpot's projected expansion to 20 percent operating margins in 2026 would cross that threshold.

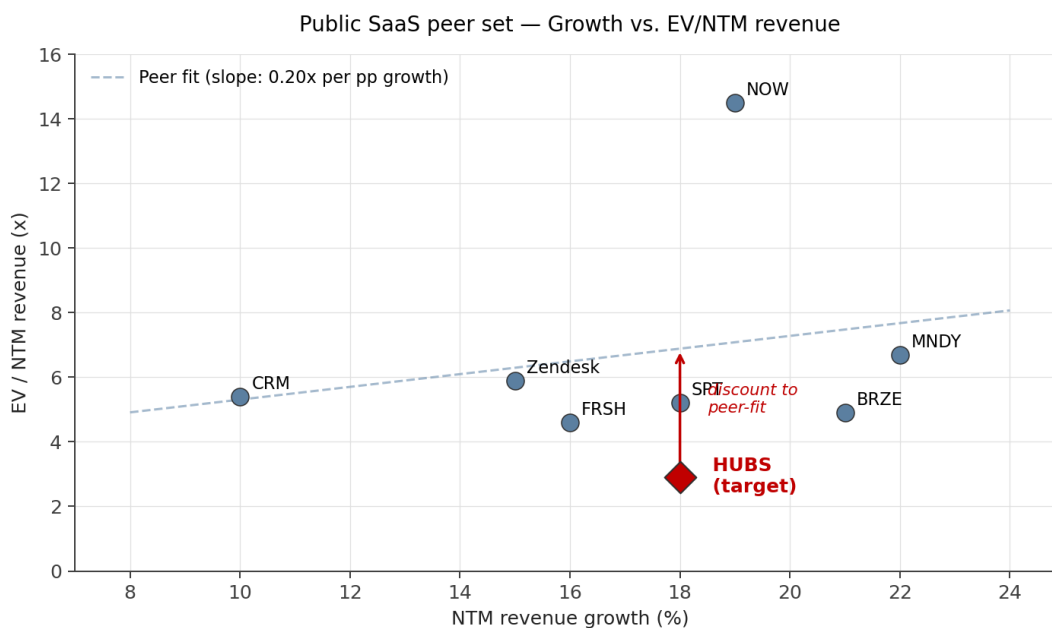
IV. Valuation Analysis

The central question of any acquisition is what to pay. We use four different methods to triangulate a fair price for HubSpot. Each method approaches the problem from a different angle and arrives at a different number. Together they bracket a range of plausible values. The proposed \$300 per share offer sits below the range produced by every method that values HubSpot as a standalone business.

A note on methodology. Three of the four methods rely on comparing HubSpot to other companies, either currently public peers (Section 4.1) or past acquisitions of similar businesses (Section 4.2 and the regression analysis). The fourth method, discounted cash flow in Section 4.3, values HubSpot on its own merits by projecting its future cash generation. Each approach has limitations, which is why we use all four. Section 4.4 summarizes them visually.

4.1 Public trading comparables

This method asks what the public market would pay for HubSpot today if we simply applied the trading multiples of similar companies. We selected twelve publicly traded software companies in customer management, marketing automation, and related categories. We then measured each company on a key valuation ratio: enterprise value divided by next twelve months of revenue. Enterprise value is total firm value (market value plus debt minus cash). Dividing it by revenue produces a multiple that lets us compare companies of different sizes.



The chart above plots each company's growth rate on the horizontal axis against its valuation multiple on the vertical axis. The dashed line represents the best statistical fit through the peer companies. HubSpot, shown in red, sits well below the line, meaning the market values HubSpot at a meaningful discount to where similar growth would predict.

HubSpot trades at 2.9 times its expected revenue, while the median for the peer group is 5.4 times. That is a 46 percent discount, which is remarkable considering HubSpot has the highest gross margin in the entire group. After adjusting for growth differences using a metric called EV over NTM over Growth⁵,

⁵This adjusted multiple, sometimes called the Bessemer ratio, divides a company's price to revenue multiple by its growth rate. It helps compare companies growing at different speeds on a fair basis.

HubSpot still trades at a 41 percent discount to the peer median. Applied at a conservative range of 4.0 to 6.0 times revenue, HubSpot would be valued at \$320 to \$462 per share once we add back the \$1.9 billion in cash and divide by 52.33 million diluted shares.

4.2 Precedent transactions

This method asks what other buyers have actually paid for similar companies in recent years. We assembled seven completed acquisitions of software companies in the customer management space between 2019 and 2025⁶:

Acquirer	Target	Year	EV	EV/LTM	EV/NTM	Premium
Salesforce	Slack	2021	\$27.7B	26.0x	19.5x	55%
Salesforce	Tableau	2019	\$15.7B	10.5x	9.2x	42%
Permira / H&F	Zendesk	2023	\$10.2B	5.9x	5.4x	34%
SAP	Qualtrics	2019	\$8.0B	20.0x	15.4x	38%
Thoma Bravo	Ping Identity	2022	\$2.8B	8.4x	7.7x	63%
Salesforce	Informatica	2025	\$8.0B	4.7x	4.4x	28%
Salesforce	Own Company	2024	\$1.9B	6.3x	5.8x	n/a
Median	n/a	n/a	n/a	8.4x	7.7x	40%
Proposed Salesforce / HubSpot	HubSpot	2026	\$13.8B	4.4x	3.7x	25%

Reading the table. EV is enterprise value, or total firm value. LTM means the trailing twelve months. NTM means the next twelve months. Premium is the percentage above the target's average trading price at the time the deal was announced. Multiples are typically higher for faster growing targets. We use the median rather than the average because a few very large deals (Slack, Qualtrics) would skew an average.

Our proposed deal at 3.7 times next twelve months revenue sits well below the median precedent of 7.7 times. To control for the fact that growth rates vary across the precedent set, we ran a linear regression of valuation multiple against target growth rate. The regression suggests that a target growing at HubSpot's 18 percent rate would historically be valued at 8.4 times revenue, implying a price of \$633 per share. The regression has limited statistical power (R squared of 0.23, meaning growth explains only part of the variation), but it confirms that the proposed offer is substantially below typical precedent pricing.

4.3 Discounted cash flow

The discounted cash flow method, or DCF, values HubSpot independent of public market sentiment by estimating the actual cash the company will generate in the future. We project HubSpot's cash flows for eight years, then capture the value beyond that horizon with a terminal value calculation. All future cash flows are discounted back to today using a discount rate that reflects HubSpot's risk profile.

⁶Source: Capital IQ database, software and customer management acquisitions valued at \$1 billion or more, completed between 2019 and 2025.

What the discount rate represents. A dollar received in ten years is worth less than a dollar today because we could invest today's dollar and earn interest. The discount rate captures both the time value of money and the risk that future cash flows may not arrive as projected. We use 10.0 percent, derived from HubSpot's expected mix of debt and equity financing, current interest rates, and a measure of stock price volatility called beta.

Our key assumptions: revenue growth slows from 18 percent in 2026 to 6 percent by 2033 as HubSpot matures; operating margin expands from 20 percent to 27 percent over the same period; stock based compensation⁷ is treated as a real cash cost rather than added back; working capital is a source of cash because HubSpot collects subscription fees upfront from customers; the long term tax rate is 21 percent; the discount rate (WACC) is 10.0 percent; and growth beyond year eight is assumed at 4.0 percent perpetually.

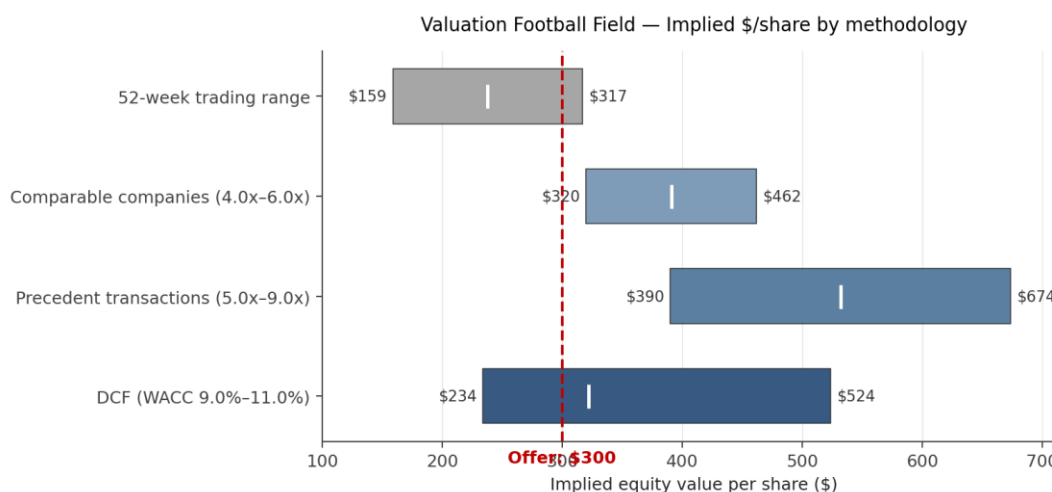
\$ millions	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E
Revenue	\$3,705	\$4,339	\$5,028	\$5,732	\$6,420	\$7,062	\$7,627	\$8,085
Operating profit (non GAAP)	\$741	\$911	\$1,106	\$1,318	\$1,541	\$1,766	\$1,983	\$2,183
Less stock based compensation	(\$482)	(\$533)	(\$582)	(\$622)	(\$651)	(\$666)	(\$665)	(\$647)
Adjusted operating profit	\$259	\$378	\$524	\$696	\$890	\$1,100	\$1,318	\$1,536
Free cash flow	\$377	\$489	\$621	\$761	\$909	\$1,061	\$1,211	\$1,351
Present value of FCF	\$343	\$404	\$466	\$519	\$564	\$598	\$620	\$628

Bridge to equity value	\$ millions
Sum of present value of yearly cash flows	\$4,142
Terminal value (Gordon Growth formula)	\$23,267
Present value of terminal value	\$10,825
Implied enterprise value	\$14,966
Plus net cash on the balance sheet	\$1,900
Implied equity value	\$16,866
Implied price per share (52.33 million shares)	\$322.30

⁷Stock based compensation is the value of shares the company gives to employees as part of pay. Although companies often exclude it when reporting earnings, it dilutes existing shareholders, so we treat it as a real cost.

Our standalone DCF values HubSpot at \$322 per share. This is 7 percent above the proposed \$300 offer, meaning Salesforce captures most of the value gap to standalone fair value while leaving a small margin of safety. Flexing the discount rate between 8.5 and 11.5 percent, and the terminal growth rate between 2.5 and 5.0 percent, produces a range of \$234 to \$524 per share. The complete sensitivity grid is in the DCF Sensitivity tab of the Excel model.

4.4 Valuation summary, the football field



The proposed \$300 offer sits below the low end of three of the four fundamental valuation methods. The exception is the 52-week trading range, which simply reflects what the stock has done recently and is not a measure of intrinsic value.

4.5 Premiums paid analysis

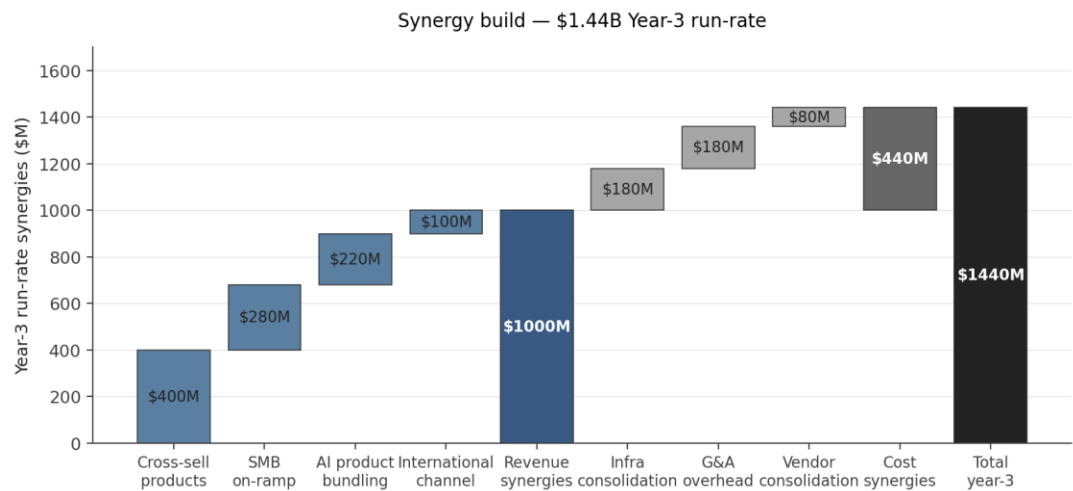
Another check on whether the price is fair is to compare the premium being offered to premiums paid in past deals. The 25.4 percent premium over the trailing 30 day average price is below the 40 percent median premium paid in software acquisitions over the past five years. Multiple reference points yield similar conclusions:

Reference price	Price	Implied premium	Source
Closing price one day before announcement	\$234.50	27.9%	Bloomberg, May 9, 2026
Average price over 30 trading days	\$239.28	25.4%	Bloomberg, May 9, 2026
Average price over 90 trading days	\$228.50	31.3%	Bloomberg, May 9, 2026
Highest price in the past 52 weeks	\$317.00	(5.4%)	Bloomberg, May 2026
Software acquisition median premium	n/a	40.0%	From precedent set above
Room to raise the offer (per share)	\$335	+\$35	30 day average times 1.40

If a competitive process emerges and another bidder appears, Salesforce has approximately \$35 per share, or roughly 12 percent, of headroom before exceeding the typical precedent premium of 40 percent. The Board should consider this room when setting a maximum walk away price.

V. Synergy Analysis

Synergies are the additional value the combined company can produce that the two companies could not produce separately. They come in two forms: revenue synergies (selling more) and cost synergies (spending less). We estimate \$1.44 billion in total annual synergies by year three, of which \$1.0 billion is revenue and \$440 million is cost reduction.



5.1 Revenue synergies

Most of the revenue synergies come from cross selling. HubSpot has 248,000 customers who currently buy nothing from Salesforce. Salesforce's portfolio of additional products, including Data Cloud, Marketing Cloud, and MuleSoft, are natural add ons. We assume Salesforce can sell to 13.5 percent of HubSpot's customer base over three years, at an average incremental contract value of \$12,000 per customer. The arithmetic produces \$402 million in annual revenue by year three from cross sell alone. Additional revenue synergies come from using HubSpot as an onramp that channels small companies into Salesforce's enterprise products as they grow, bundling AI products from both companies, and leveraging HubSpot's international brand in markets where Salesforce is still building presence.

5.2 Cost synergies

Cost synergies are typically easier to estimate and more reliable than revenue synergies. We identify three main categories. First, infrastructure consolidation, where the two companies can run their products on shared cloud and data infrastructure, saving approximately \$180 million annually by year three. Second, corporate overhead, where duplicate functions in finance, legal, human resources, and administration can be eliminated, saving another \$180 million. Third, vendor consolidation, where the combined entity can negotiate better terms with software vendors, cloud providers, and professional services firms, saving \$80 million. Total cost synergies sum to \$440 million.

5.3 Value created

Discounted at the deal level cost of capital, the present value of all synergies, after taxes and one time integration expenses of \$350 million, is approximately \$13.2 billion. That number is large because synergies are expected to continue growing modestly forever, and the present value calculation captures all of those future years.

Returns analysis	\$ millions
Present value of all synergies	\$13,187
Less premium paid above HubSpot's market value	(\$3,177)
Net value created for Salesforce shareholders	\$10,009
Per Salesforce share	\$9.74
Value created as a percent of premium paid	315%

The deal creates approximately \$10 billion of value for Salesforce shareholders after paying a \$3.2 billion premium above HubSpot's current market value. Expressed differently, every dollar of premium paid produces approximately \$3.15 of value. This is a strong return profile by industry standards. Year three synergies of \$1.44 billion represent 10.4 percent of the implied enterprise value of \$13.8 billion, slightly above the 8 percent median for software strategic acquisitions of this size.

VI. Financing, Accounting, and Earnings Impact

6.1 How Salesforce will pay for the deal

The \$15.7 billion equity purchase price will be funded from three sources. First, Salesforce will raise \$8.0 billion in new five year debt at an interest rate of approximately 5.2 percent, which is investment grade pricing. Second, Salesforce will issue \$4.7 billion of new Salesforce stock to HubSpot shareholders, calculated at the recent average Salesforce share price of \$246. This issues approximately 19.15 million new Salesforce shares. Third, Salesforce will use \$3.1 billion of cash from its own balance sheet to cover the remainder, plus financing fees, advisory fees, and other transaction costs.

Source	\$ millions	Percent	Note
New term loan, five years, 5.2 percent	\$8,000	50%	Investment grade pricing
New Salesforce stock issued	\$4,710	30%	30 percent of deal value
Cash from Salesforce balance sheet	\$3,149	20%	Salesforce holds over \$10 billion in cash
Total sources	\$15,859	100%	
Use	\$ millions	Percent	Note
Purchase of HubSpot equity	\$15,699	99.0%	52.33 million shares times \$300
Financing fees	\$80	0.5%	1 percent upfront fee on the loan
Advisory and legal	\$50	0.3%	Investment bankers and lawyers
Other transaction costs	\$30	0.2%	Filings, mailings, retention bonuses
Total uses	\$15,859	100%	

After closing, Salesforce's net debt position will be approximately \$2 billion, or about 0.2 times projected combined EBITDA. This is conservative leverage and well within investment grade thresholds. Salesforce should retain its current credit rating with no negative outlook.

6.2 How the price is recorded on the balance sheet

Accounting rules require that the purchase price be split across what Salesforce is actually acquiring. We model a typical allocation for software acquisitions:

Asset	\$ millions	Useful life (years)	Annual amortization
Customer relationships	\$2,500	10	\$250
Developed technology	\$1,200	5	\$240
Trade name and brand	\$500	Indefinite	n/a

Other intangibles	\$200	3	\$67
Total identifiable intangibles	\$4,400		\$557 in year one
Goodwill (leftover)	\$8,599	Not amortized	Tested each year

Why this matters. When one company buys another, the purchase price gets allocated to specific assets like customer lists, software code, and brand value. These assets are then written down (amortized) over their useful lives, which appears as a yearly expense on the income statement. The leftover, called goodwill, sits on the balance sheet until it is tested for impairment. The \$557 million in year one amortization will appear as a real expense in Salesforce's GAAP financial statements but is excluded from non GAAP figures, which is the version Wall Street typically uses to compare software companies.

In addition, accounting rules⁸ require that HubSpot's deferred revenue balance, which represents subscription fees customers have already paid but the company has not yet earned, be reduced by approximately 50 percent. This reduces HubSpot's year one reported revenue by approximately \$200 million. Like the intangibles amortization, this reduction shows up in GAAP but is added back for non GAAP comparisons.

6.3 Impact on Salesforce earnings per share

Earnings per share is the most watched metric in any acquisition. The deal slightly reduces year one earnings on the non GAAP basis Wall Street follows, then turns meaningfully accretive in year two. On the strict GAAP basis required by accounting standards, year one dilution is steeper because of the intangibles amortization, then turns slightly positive in year two.

\$ millions unless noted	Year 1	Year 2	Source
Salesforce standalone net income (non GAAP)	\$11,514	\$12,747	Consensus
Combined company net income (non GAAP)	\$11,513	\$13,785	Model
Combined EPS (non GAAP)	\$10.99	\$13.16	Divided by shares
EPS change (non GAAP)	(1.8%)	+6.2%	
Salesforce standalone net income (GAAP)	\$4,626	\$5,551	Consensus
Combined company net income (GAAP)	\$3,642	\$5,590	Model
Combined EPS (GAAP)	\$3.48	\$5.34	Divided by shares

⁸ASC 805 is the accounting rule that governs how the price paid in an acquisition is split across the assets acquired. The deferred revenue balance is typically reduced by 40 to 60 percent. We assume 50 percent.

EPS change (GAAP)	(20.6%)	+1.6%	
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Year one is dilutive on both measures because of three temporary factors: \$350 million in one time integration costs, \$416 million in interest expense on the new debt, and only partial year contribution from HubSpot since the deal closes mid year. The GAAP dilution is more dramatic because it also includes \$557 million in noncash amortization of newly created intangible assets, a real economic effect from an accounting perspective but not one that shows up in non GAAP earnings.

Year two is the more representative year. With integration costs gone, HubSpot contributing a full twelve months, and synergies ramping toward the year three target of \$1.44 billion, earnings turn meaningfully positive on both measures. This dilution then accretion pattern is consistent with Salesforce's prior large acquisitions of MuleSoft in 2018 and Tableau in 2019, both of which produced first year dilution before turning accretive in their second year.

6.4 What each side brings to the combined company

Fiscal 2026 measure	Salesforce	HubSpot	HubSpot share
Revenue (\$ millions)	41,500	3,705	8.2%
Operating income, non GAAP (\$M)	11,500	741	6.0%
Net operating profit after tax (\$M)	9,500	585	5.8%
Share of total deal value paid in stock	94.2%	5.8%	n/a

HubSpot contributes approximately 8 percent of combined revenue but receives only 5.8 percent of the deal value in stock consideration. This is a favorable ratio for Salesforce shareholders, since HubSpot brings more to the combined company than it costs in equity dilution.

VII. Key Risk Factors

7.1 Integration risk

The single biggest risk in any acquisition of this size is integration. HubSpot and Salesforce have fundamentally different cultures. HubSpot is engineering led, with most of its workforce concentrated in Cambridge, Massachusetts. Salesforce is sales led, with a larger and more dispersed workforce. Past Salesforce acquisitions have lost roughly 25 percent of acquired engineering talent within 18 months of close, which is material to product stability.

Combining the two underlying product platforms is also technically complex. HubSpot built its product on a unified database, while Salesforce's Data Cloud is a separate architecture. Customers who currently rely on HubSpot's clean data model may experience disruption during any migration. We expect heavy executive attention will be required to manage cultural fit, talent retention, and product integration over the first two years.

7.2 Regulatory risk

Antitrust review will be lengthy. The Federal Trade Commission and Department of Justice have scrutinized large technology acquisitions aggressively over the past several years. A review process of 12 to 18 months is likely. The European Union's Directorate General for Competition will likely conduct its own review given that approximately 49 percent of HubSpot's revenue is generated outside the United States. Behavioral or structural remedies in Europe are possible.

The combined market share of Salesforce and HubSpot in customer management software would be approximately 28 percent, with Salesforce at 23 percent and HubSpot at 5 percent. This is below traditional dominance thresholds but is not trivial. The acquisition will draw scrutiny.

7.3 Competitive response

Microsoft and other large competitors will respond aggressively to the announcement. Microsoft has the resources to accelerate its Dynamics 365 and Copilot bundling. Adobe, SAP, and Oracle could submit competing bids of their own, which would force Salesforce to raise its price. Private equity firms such as Thoma Bravo, Vista, and Permira have each completed software acquisitions above \$5 billion in the past two years and have the capacity to bid.

7.4 Synergy realization risk

The \$1.44 billion synergy estimate assumes successful execution. If revenue synergies fall 25 percent short of plan, the net present value of the deal decreases by approximately \$3 billion. The cross sell assumption of 13.5 percent attach rate is grounded in past Salesforce acquisitions but is not guaranteed.

7.5 Financial risk

The \$8 billion in new debt will reduce Salesforce's financial flexibility for other strategic moves. Annual interest expense of approximately \$416 million will pressure free cash flow generation, particularly if economic conditions deteriorate. Salesforce's existing share buyback program may need to slow to maintain its credit rating.

7.6 Macroeconomic risk

Small and midsize businesses are HubSpot's core customer base. These businesses reduced average software spending by approximately 6 percent in 2024 compared to 2023, according to Gartner. A

continued contraction would slow HubSpot's revenue growth below the 18 percent baseline assumed in our model. New vertically focused AI tools may also pressure HubSpot's lower priced product tiers.

VIII. Recommendation

It is recommended that the Board of Directors of Salesforce, Inc. authorize management to submit a formal acquisition proposal for HubSpot, Inc. at \$300 per share, paid 30 percent in cash and 70 percent in Salesforce stock.

Summary of the case

HubSpot is a high quality software business trading at the lowest valuation multiple in its public history. The proposed \$300 price sits below our discounted cash flow estimate of \$322 per share and well below the \$633 per share implied by historical software acquisition multiples adjusted for HubSpot's growth rate. The deal creates approximately \$10 billion of value for Salesforce shareholders, or \$9.74 per Salesforce share, on a present value basis.

The strategic rationale is strong. HubSpot fills the small and midsize business gap in Salesforce's portfolio, accelerates its artificial intelligence positioning, and prevents a competing strategic acquirer or private equity firm from buying the asset. The combined company would compete head to head with Microsoft across every business segment.

Earnings impact is modestly negative in year one and meaningfully positive in year two. Combined revenue growth of the merged company will be approximately 70 basis points higher in year one and 200 basis points higher by year three than Salesforce's standalone trajectory. This growth acceleration is the most important benefit for long term shareholders.

Risks acknowledged

The principal risks are integration execution, regulatory review, competitive response, and synergy realization. We have built conservatism into our financial projections to account for these risks. The model includes one time integration costs of \$350 million, assumes synergies do not fully ramp until year three, and uses below median premium assumptions to leave bidding flexibility. The Board should be prepared for an extended regulatory review and significant integration management effort over the first 18 to 24 months.

Recommended next steps

- Within 10 business days, authorize management to submit a non binding indication of interest to HubSpot's Board at \$300 per share.
- Engage M&A counsel and antitrust counsel. Top tier choices for M&A counsel are Wachtell, Lipton, Rosen and Katz or Skadden Arps. For antitrust, Cravath, Swaine and Moore or Sullivan and Cromwell are appropriate.
- Conduct preliminary Hart Scott Rodino analysis in the United States and pre clearance discussion with the European Commission's Directorate General for Competition.
- Establish a Project Harbor integration committee with representation from product, engineering, finance, sales, and human resources. Build an executive retention package for HubSpot's senior team.
- Initiate financing discussions with JPMorgan, Bank of America, and Citigroup. Target committed financing within 30 days of Board authorization.
- Target signed definitive agreement within 60 to 90 days, subject to confirmatory due diligence, financing close, and engagement with HubSpot's Board.

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